

Claim Billing Policy

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1. Purpose

This policy defines the rules for evaluating billed claim amounts against expected costs and average benchmarks. Claims that exceed defined thresholds are subject to review, audit, or denial.

2. Scope

Applies to all insurance claims submitted by healthcare providers across all specialties and locations.

3. Billing Thresholds

Rule	Threshold / Condition	Action
High Cost Flag	billed_amount > average_cost	Flag for review
Moderate Overbilling	billed_vs_avg_cost between 1.5 and 2.5	Secondary review required
Severe Overbilling	billed_vs_avg_cost > 2.5	Mandatory audit
Extreme Overbilling	billed_vs_avg_cost > 4.0	Claim denied
Zero Cost Reference	average_cost = 0 or expected_cost = 0	Manual review required

4. Rules

4.1 High Cost Claims

Any claim where the billed amount exceeds the average cost for the corresponding procedure and category is automatically flagged (high_cost_flag = 1). These claims require supporting documentation before approval.

4.2 Billed vs Average Cost Ratio

The ratio of billed_amount to average_cost (billed_vs_avg_cost) is a primary risk indicator. Ratios above 1.5 indicate potential overbilling. Ratios above 2.5 are considered severe and trigger mandatory audit. Ratios above 4.0 result in automatic denial.

4.3 Missing Cost Benchmarks

If `average_cost` or `expected_cost` is zero or missing for a claim, the claim cannot be automatically evaluated and must be routed to manual review. Procedure code UNKNOWN is a common cause of missing benchmarks and results in immediate escalation.

5. Required Actions

- Claims with `high_cost_flag` = 1 must include an itemized bill.
- Claims with `billed_vs_avg_cost` > 2.5 require physician sign-off.
- Claims with missing cost benchmarks must be held pending manual review.
- All denied claims must receive a written denial notice citing this policy.